CONCEPTUAL OVERVIEW

Learning Outcome

- compare financial reporting quality with the quality of reported results (including quality of earnings, cash flow, and balance sheet items)

Ideally, analysts would always have access to financial reports that are based on sound financial reporting standards, such as those from the International Accounting Standards Board (IASB) and the Financial Accounting Standards Board (FASB), and that are free from manipulation. But, in practice, the quality of financial reports can vary greatly. High-quality financial reporting provides information that is useful to analysts in assessing a company's performance and prospects. Low-quality financial reporting contains inaccurate, misleading, or incomplete information.

Extreme lapses in financial reporting quality have given rise to high-profile scandals that resulted not only in investor losses but also in reduced confidence in the financial system. Financial statement users who were able to accurately assess financial reporting quality were better positioned to avoid losses. These lapses illustrate the challenges analysts face as well as the potential costs of failing to recognize practices that result in misleading or inaccurate financial reports.[1] Examples of misreporting can provide an analyst with insight into various signals that may indicate poor-quality financial reports.

This module addresses *financial reporting quality*, which pertains to the quality of information in financial reports, including disclosures in notes. High-quality reporting provides decision-useful information, which is relevant and faithfully represents the economic reality of the company's activities during the reporting period as well as the company's financial condition at the end of the period. A separate but interrelated attribute of quality is *quality of reported results* or *earnings quality*, which pertains to the earnings and cash generated by the company's actual economic activities and the resulting financial condition. The term "earnings quality" is commonly used in practice and will be used broadly to encompass the quality of earnings, cash flow, or balance sheet items. High-quality earnings result from activities that a company likely will be able to sustain in the future and provide a sufficient return on the company's investment. The concepts of earnings quality and financial reporting quality are interrelated because a correct assessment of earnings quality is possible only when there is some basic level of financial reporting quality. Beyond this basic level, as the quality of reporting increases, the ability of financial statement users to correctly assess earnings quality and to develop expectations for future performance also increases.

After providing a conceptual overview of reporting quality, this module discusses motivations that might cause, and conditions that might enable, management to issue financial reports that are not high quality and mechanisms that aim to provide discipline to financial reporting quality. We also describe choices made by management that can affect financial reporting quality—presentation choices, accounting methods, and estimates—as well as warning signs of poor-quality financial reporting.

Conceptual Overview

Financial reporting quality and results or earnings quality are interrelated attributes of quality. Exhibit 1 illustrates this interrelationship and its implications.

Exhibit 1:

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

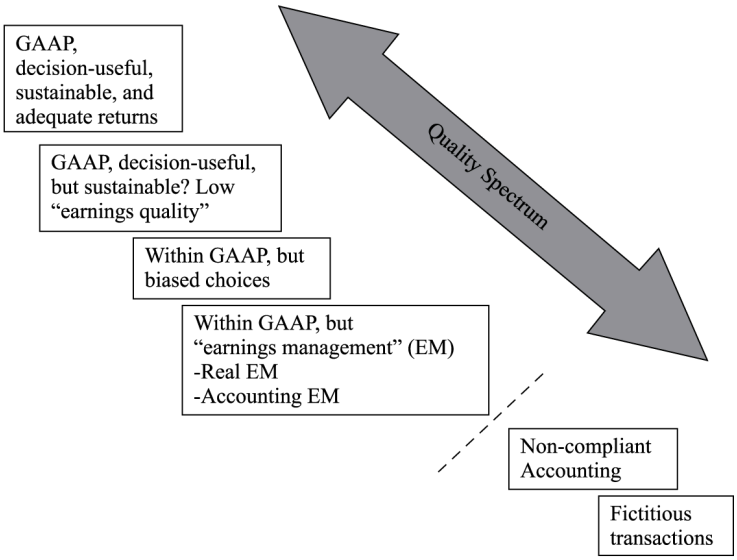
		Financial Reporting Quality	
		Low	High
Earnings (Results) Quality	High	LOW financial reporting quality impedes assessment of earnings quality and impedes valuation.	HIGH financial reporting quality enables assessment. HIGH earnings quality increases company value.
	Low		HIGH financial reporting quality enables assessment. LOW earnings quality decreases company value.

As shown in Exhibit 1, if financial reporting quality is low, the information provided is of little use in assessing the company's performance, and thus in making investment and other decisions.

Financial reporting quality varies across companies. High-quality reports contain information that is relevant, complete, neutral, and free from error. The lowest-quality reports contain information that is pure fabrication. Earnings (results) quality can range from high and sustainable to low and unsustainable. Providers of resources prefer high and sustainable earnings. Combining the two measures of quality—financial reporting and earnings—the overall quality of financial reports from a user perspective can be thought of as spanning a continuum from the highest to the lowest. Exhibit 2 presents a quality spectrum that provides a basis for evaluating better versus poorer quality reports. This spectrum ranges from reports that are of high financial reporting quality and reflect high and sustainable earnings quality to reports that are not useful because of poor financial reporting quality.

Exhibit 2:

Quality Spectrum of Financial Reports



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Discussions
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Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search